

Let's Talk Finance 1

Glossary

This document provides reference definitions for the finance vocabulary used across the 20 Reading topics in *Let's Talk Finance 1*.

Each entry explains what the term means, why it matters, and how it typically comes up in the article that introduces it.

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Adequacy decision. A ruling by a regulator, most often the European Union, that another country's data-protection law is strong enough that personal data can be sent there without extra legal paperwork. The EU and Japan recognised each other's systems as "adequate" in 2019, the EU's first such mutual arrangement, so personal data can now move between them without special contracts, unlike the flow between the EU and countries judged not to offer equivalent protection. An adequacy decision is what turns a cross-border data transfer from a legal risk into routine business. [1.4]

Agent banking. A system in which ordinary shops or kiosks, rather than bank branches, take cash in and pay it out on behalf of a financial-service provider, letting customers deposit, withdraw and send money without a bank ever opening a branch nearby. Kenya's M-Pesa relies on local shop agents instead of bank branches, which is a large part of why mobile money spread so quickly across a country with few branches outside its cities. Agent banking is what makes a mobile-money account usable for everyday cash needs, not just a phone-screen balance. [1.5]

Anti-money-laundering (AML). The rules and duties that require banks and other financial firms to identify their customers, watch for suspicious transactions, and report what looks like money laundering to the authorities. Because governments cannot monitor every transaction themselves, AML law makes banks the front line of detection, checking millions of payments a day for patterns that might mean criminal money is being disguised as legitimate. Japan's regulators pushed banks to tighten these checks after a 2021 international review found the country's AML controls needed improvement. [4.1]

Application programming interface (API). A standard software connection that lets one company's computer system securely exchange data with another's, without a person doing the work by hand. The European Union's open-banking rules require banks to let licensed third parties reach customer payment accounts through an API, which is the technical channel that makes open banking work in practice rather than remaining just a legal right on paper. Without a shared, reliable API, a bank could technically allow access while still making it too difficult to use. [1.3]

Asset freeze. An order that blocks a person, company or government from moving or using

specific money or property held in a jurisdiction that imposes the freeze. After Russia invaded Ukraine in February 2022, a coalition of G7 economies and the EU froze roughly US\$300 billion of the Russian central bank's reserves, one of the two main tools, alongside cutting banks off from SWIFT, used in the largest coordinated sanctions effort ever applied to a major economy. A freeze does not transfer ownership of the assets; it simply stops the owner from reaching them, which is why the EU chose to redirect only the profits earned on Russia's frozen reserves to Ukraine rather than seize the funds themselves. [4.5]

Automatic adjustment mechanism. A built-in rule that changes a pension system's payments or contributions automatically, based on a measure such as life expectancy or the size of the working-age population, without needing a new law each time. Japan has used one since 2004, nicknamed the "macroeconomic slide," which quietly trims the growth of pension benefits as the country's workforce shrinks, so that the system's finances adjust gradually instead of requiring a politically painful vote every few years. The mechanism is projected to bring Japan's replacement rate down from about 61% today toward a legal floor of 50% by 2057. [3.4]

Bank run. A situation in which large numbers of a bank's depositors try to withdraw their money at the same time, usually because they have lost confidence that the bank can repay them, which can turn a bank that was solvent on paper into one that actually fails. Signature Bank lost about a fifth of its total deposits in a matter of hours on 10 March 2023, faster than any historical run that regulators' stress-test scenarios had modelled, after a wave of contagion following a similarly sized rival's collapse two days earlier. A stress test is partly an attempt to estimate how much of this kind of rapid, confidence-driven withdrawal a bank's capital buffer could actually absorb. [2.3, 2.4]

Basis point. A unit equal to one-hundredth of a percentage point, used to describe small changes in things like interest rates or capital ratios precisely, since talking in whole percentage points would often be too coarse. The 2025 European Union bank stress test found that its scenario would wipe out roughly 370 basis points, or 3.7 percentage points, of the tested banks' capital ratios on average. Using basis points lets regulators and analysts compare small movements consistently without ambiguity over decimal points. [2.4]

Blended finance. The practice of using public or donor money to reduce the risk of a project until private investors, such as pension funds and insurers, are willing to put in their own capital alongside it. The World Bank Group's public commitments in its 2025 financial year helped attract tens of billions of dollars of additional private capital this way, effectively letting a smaller amount of public money unlock a much larger pool of private investment. It sits between a fully public project and one financed entirely by private investors, spreading risk so that money which would otherwise stay on the sidelines gets invested. [3.2]

Blockchain. A shared digital record, copied across many computers at once, that keeps track of transactions in a cryptocurrency without needing a bank or other central authority to maintain it. Because no single company controls the blockchain a cryptocurrency runs on, coins can be sent directly between people, which is the feature that makes cryptocurrencies attractive but also makes it harder to check who is really sending money or to stop fraud. It is the underlying technology that every other crypto-related term in this topic, from crypto exchange to stablecoin, depends on. [1.1]

Board of directors. The group of people, elected by shareholders, that is supposed to hire, monitor, pay and, if necessary, remove a company's senior management on the owners' behalf. Corporate governance rules exist mainly to make sure this chain of accountability actually works, rather than the board simply rubber-stamping whatever management proposes; Britain's 1992 Cadbury Report pushed for boards to include independent, outside directors precisely so that some members would not depend on management for their own position. When activist fund Engine No. 1 won three of ExxonMobil's twelve board seats in 2021 despite holding only about 0.02% of the company, it demonstrated that the board, not management, is where shareholders can ultimately exert control. [4.4]

Bond. A tradable financial instrument through which a borrower — a government, a company or another institution — promises to pay regular interest and repay a fixed sum on a set future date, in exchange for money lent today. A bond is a form of debt, distinct from a share, because a bondholder is owed a fixed repayment rather than owning a stake in the borrower's future profits. This basic structure underlies more specific instruments discussed elsewhere in this book, such as the government bonds a treasury sells to fund state spending and the green bonds

issuers use to fund environmental projects. [2.2, 2.5, 3.1, 3.2, 3.4, 3.5]

Bond auction. The method most debt management offices use to sell government bonds, in which investors submit competing bids and the government accepts the combination of price and quantity that raises the money it needs. An auction lets the market, rather than the government itself, set the interest rate the government must pay, which is one reason investors watch auction results closely as a signal of a country's borrowing costs and creditworthiness. It is the practical mechanism behind the government-bond issuance described in this topic's Reading, whether the UK's Debt Management Office or any other national treasury. [2.5]

Capital. The financial cushion a company or financial institution holds, usually contributed by its owners, that can absorb losses before it must turn to depositors, policyholders or other creditors. An insurer must hold capital worth more than its expected future claims under a solvency rule, and a bank's capital buffer is exactly this kind of cushion, tested for adequacy in a stress-testing exercise. Because capital is what stands between a loss and a genuine failure, regulators across banking, insurance and other financial sectors set minimum capital requirements as their central tool for keeping institutions safe. [2.3, 3.2, 3.4, 4.3, 4.4]

Capital buffer. The amount of a bank's own capital that sits above the regulatory minimum, available to absorb losses in a downturn before the bank has to cut lending, raise fresh capital, or fail outright. A stress test estimates how far a bank's capital buffer would shrink under a severe scenario, such as a deep recession; if the buffer falls too low, the bank must raise more capital or hold back dividends. The 2009 United States stress test found that ten of nineteen large banks needed about US\$75 billion of new capital to keep an adequate buffer, a result made public specifically so investors could judge which banks were sound. [2.4]

Cashless payment. Any payment made without physically handing over banknotes or coins, including cards, mobile-phone payments and bank transfers. Japan set a national target for the cashless share of consumer spending and reached about 43% in 2024, meeting its 40% goal a year early, even though the country remains unusually reliant on cash compared with other rich economies. Rising cashless payment can improve convenience and record-keeping, but it also raises the financial-inclusion question of who gets left behind as physical cash and bank branches become harder to find. [1.5]

Central bank digital currency (CBDC). Official money issued in digital form by a central bank itself, rather than by a commercial bank. In a 2024 Bank for International Settlements survey, 85 of 93 responding central banks said they were exploring one, yet by 2026 only three small economies had actually launched one for everyday public use, and take-up in all three had been very low. The general idea splits into two distinct types covered separately in this glossary: a retail CBDC, for ordinary people's everyday use, and a wholesale CBDC, for settlement between financial institutions only. [1.2]

Central bank. The official institution responsible for a country's monetary policy and currency, and the ultimate issuer of a nation's money, including the physical cash people carry. The reading on central bank digital currencies explains that the cash in your pocket is already a direct claim on the central bank, unlike money in a bank account, which is a claim on a commercial bank. Because central banks sit at the centre of a country's monetary and payment system, they recur throughout this book, from studying digital currencies to buying government bonds during a crisis to acting as a bank's lender of last resort. [1.2, 1.3, 1.5, 2.5, 3.5, 4.5]

Circuit breaker. A rule that automatically stops trading for a fixed period once prices in a market fall by a set amount, designed to give buyers and sellers time to absorb new information before trading resumes. The mechanism originated in the United States after the 1987 "Black Monday" crash, and the main US market now has three trigger levels, at falls of 7%, 13% and 20% in the S&P 500. China's 2016 experience, when its own circuit breaker was withdrawn after only four days because traders rushed to sell before a halt could take effect, shows the tool's central risk: a pause meant to calm a market can instead pull prices toward the trigger. [2.1]

Claim. In insurance, a policyholder's formal request to an insurer for payment under a policy, made once the specific event the policy covers, such as a death, an accident or a loss, has actually occurred. Solvency regulation exists to make sure an insurer will still have enough capital to pay a claim when it eventually comes due, which can be decades after the premium was first collected; Japan's 1997 failure of Nissan Mutual Life happened because the insurer could no longer be confident of meeting its future claims. [2.3]

Claim (on the central bank). A legal right to be paid a certain amount by a specific institution; cash is a claim directly on the central bank, while money in a bank account is a claim on a commercial bank instead. This distinction is the starting

point for understanding a central bank digital currency, since a retail CBDC would extend the same direct claim on the central bank that cash offers today into a digital form ordinary people could hold without going through a commercial bank. The difference matters because a claim on a central bank generally carries less risk than a claim on a commercial bank, which could in theory fail. [1.2]

Comply or explain. A governance approach in which a company is not legally forced to follow every rule in a code of best practice, but must publicly explain why it has chosen not to, rather than following the rule or facing no consequence at all. Britain's 1992 Cadbury Report introduced the idea, and Japan adopted the same approach in its 2014 Stewardship Code and 2015 Corporate Governance Code, both aimed at pushing listed companies toward more independent boards and fuller disclosure. The approach gives companies flexibility to justify a genuinely different approach, while still creating public pressure to follow widely accepted standards. [4.4]

Concession. A fixed-term right, granted by a government to a private company, to design, build, finance and operate a public asset such as a road or power plant, earning tolls or fees during that period before ownership returns to the state. Kenya's Nairobi Expressway was built and is being operated under a roughly three-decade concession, during which the private contractor collects tolls to recover the cost of construction before handing the completed road back to the government. A concession is the specific legal structure that makes a public-private partnership work, defining exactly how long the private partner gets to earn money from the asset. [3.2]

Conflict of interest. A situation in which a person or company has two competing interests, such that acting in one risks compromising the other. Credit rating agencies face a structural conflict of interest because they are paid by the very borrowers whose bonds they rate, meaning the agency's paying customer is the party that wants a high grade and that can take its business to a competitor if it does not get one. This is why regulators require agencies to publish their methods and past accuracy, so that users of a rating can judge it with the conflict in mind rather than simply trusting it. [2.2]

Consent. A person's clear agreement, usually required under privacy law, before a company may collect or use their personal data for a specific purpose. Financial firms that want to use customer data for credit scoring or new services generally need this kind of agreement, alongside a genuine reason for collecting the data and a

duty to keep only what is actually needed. Consent is one of the basic building blocks of modern data-protection law, alongside rules on what counts as a data breach and how data may cross borders. [1.4]

Consumer protection. Rules and duties intended to prevent ordinary customers of a financial firm, especially those less able to judge complex products or fine print, from being harmed by fraud, unfair terms or excessive risk-taking. It recurs across topics on fintech, data privacy and financial inclusion because each involves a new channel, an app, a data flow, or a first bank account, through which a customer could otherwise be exploited or mishandled without clear rules in place. Japan's J-FLEC financial-education body was set up partly as a consumer-protection measure, aiming to give people education free of any seller's incentive to push its own products. [1.3, 1.4, 1.5, 4.2]

Contribution rate. The share of a worker's wages that must be paid, by the worker, an employer, or both, into a pension system to fund future benefits. South Korea's National Assembly voted in March 2025 to raise its pension contribution rate for the first time in nearly three decades, moving it up in yearly steps from 9% toward 13% of wages by 2033, a lever governments often find politically easier to pull than raising the retirement age because it spreads the cost across today's workers rather than delaying anyone's retirement. Japan reached a fixed contribution rate of 18.3% of salary in 2017 as part of its own long-running pension adjustments. [3.4]

Corporate governance. The set of rules and checks intended to make sure a company's board and management act on behalf of its shareholders, rather than for their own convenience, covering how decisions are made, who is accountable, and what oversight exists over executive power. It developed mostly in response to failures, from Britain's Cadbury Report of 1992 to the accounting scandals at Enron and India's Satyam, each of which exposed a specific weakness that later rules tried to close. Japan's sustained governance-reform programme since 2014, including its Corporate Governance Code and pressure from the Tokyo Stock Exchange on companies trading below the value of their own assets, is credited as one trigger for the strong rise in Japanese share prices in 2023–24. [4.4]

Credit rating. An opinion, issued by a private rating agency and expressed on a letter scale from AAA down to grades signalling a high risk of default, about how likely a borrower is to repay its debt in full and on time. It is an opinion rather than a fact, but it carries real weight be-

cause many large investors are permitted by law or their own rules to hold only bonds above a certain grade, so a downgrade can force selling and raise a borrower's cost of new debt. Standard & Poor's lowering the United States from its top AAA rating in 2011 is one example of how a credit-rating decision can move markets even when governments strongly object to it. [2.2]

Credit rating agency. A private company, such as Standard & Poor's, Moody's or Fitch, that produces credit ratings on borrowers ranging from governments to companies to bundles of loans. The three largest agencies together produced about 94% of all outstanding ratings in the United States at the end of 2023, and all three are paid by the very borrowers they rate, which creates the industry's central conflict of interest. Regulators in the US and EU have responded by requiring registration, oversight and public disclosure of methods, though this has not removed the underlying tension in how the agencies are paid. [2.2]

Cross-border. Describing an activity, rule or risk that crosses national borders, such as a payment, a data transfer, or the supervision of a financial firm operating in more than one country. The term recurs across very different topics in this book, from insurance groups whose failure can threaten the financial system in several countries at once, to anti-money-laundering rules that make every cross-border payment more costly for a country with weak controls, because a single national rulebook rarely matches how money, data or risk actually moves in practice. [2.3, 3.3, 4.1, 4.3, 4.5]

Cross-border data transfer. The movement of personal data from one country to another, which privacy law treats as a separate and often stricter concern than simply keeping data safe inside one country's own systems. The EUR 1.2 billion fine imposed on Meta in 2023, the largest privacy fine ever issued in the European Union, was specifically about moving Facebook users' personal information from Europe to the United States without adequate legal protection against access by US authorities, not about losing or selling the data itself. It shows that a company can be fully lawful at home and still break the law simply by sending the same data across a border. [1.4]

Cross-shareholding. An arrangement in which companies hold blocks of each other's shares, historically used in Japan to cement long-term business relationships rather than to earn an investment return. Before 2014, many listed Japanese companies held extensive cross-shareholdings that reduced the pressure from outside share-

holders to improve performance, since a friendly cross-holder was unlikely to challenge management. Japan's Stewardship Code and Corporate Governance Code have since pushed companies to unwind these holdings as part of a broader effort to make governance more accountable to genuine investors. [4.4]

Crypto exchange. A platform where people buy, sell and trade cryptocurrencies, typically run by a private company rather than a bank. Two of the clearest cases behind global crypto regulation both involved exchanges: the Tokyo-based Mt. Gox, which collapsed in 2014 after losing a large amount of customer bitcoin, and Coincheck, which lost about US\$530 million in a 2018 hack. Because a crypto exchange often looks like a normal financial business while actually holding customer assets with far less oversight than a bank, requiring exchanges to register and follow customer-protection rules, as Japan has done since 2017, has become a central regulatory response. [1.1]

Cryptocurrency. A digital asset recorded on a blockchain that can be sent directly between people without a bank acting as an intermediary. That design removes a middleman, but it also removes some of the checks a bank would normally provide, making it harder to verify who is sending money, harder to stop fraud, and harder to protect people who do not understand the risks involved. The collapses of exchanges such as Mt. Gox, Coincheck and FTX all trace back to this same basic feature: valuable digital assets held by firms that turned out to be poorly supervised. [1.1]

Daily price limit. A rule, common on exchanges across Asia including Tokyo, Seoul and Shanghai, that caps how far an individual stock's price may rise or fall in a single trading day before trading in that stock is paused. Unlike a market-wide circuit breaker, which stops trading across an entire index, a daily price limit targets a single stock whose price is moving unusually fast, giving investors time to absorb new information about that specific company. It is one of several tools, alongside circuit breakers and trading halts, that regulators use to manage sudden market volatility without stopping the whole market every time. [2.1]

Data breach. An incident in which personal data is accessed, lost or exposed without authorisation, which financial and other firms are typically required to report to a data protection authority once it reaches a certain scale. The 2017 attack on the US credit bureau Equifax exposed the records of about 147 million people, leading the company to agree to pay up to US\$700 million to settle claims from US regulators and states. By early

2025, companies operating under the EU's GDPR were reporting hundreds of data breaches every single day, showing how routine, rather than rare, this kind of incident has become for financial firms holding large volumes of sensitive data. [1.4]

Data protection authority. A national or regional regulator responsible for enforcing privacy law, investigating complaints, and imposing fines on companies that mishandle personal data. Ireland's Data Protection Commission, acting under the EU's GDPR, fined Meta EUR 1.2 billion in 2023 for improperly moving personal data out of the European Union, the largest privacy fine such an authority has ever imposed. Japan's own data protection authority, the Personal Information Protection Commission, has similarly gained more power over the years to receive mandatory reports of serious data breaches. [1.4]

Debt management office. The specialist government body responsible for deciding how much debt to sell, in what maturities, and by what method, typically through a bond auction. The United Kingdom's Debt Management Office, for example, deliberately keeps the average life of its bonds unusually long, at about 14 years, spreading out the dates on which the government must find money to repay or refinance its debt. A debt management office's choices about currency and maturity are what shape how risky a government's overall debt position actually is, separately from the total amount owed. [2.5]

Debt restructuring. The process of renegotiating a government's or company's existing debt with its creditors, usually to stretch out repayment dates or reduce the amount owed, when the debt genuinely cannot be paid as originally promised. Sri Lanka defaulted in 2022 and completed a debt restructuring deal with bondholders in 2024 that cut the value of its bonds by roughly a quarter, while Zambia's 2024 restructuring, arranged through a shared Group of Twenty process, wrote off about US\$840 million of what it owed. This tool becomes necessary for governments carrying debt owed to foreign creditors, often in a currency they cannot simply print more of, which is exactly the position Japan avoids by borrowing almost entirely at home in yen. [2.5, 4.5]

Default. A borrower's failure to make a scheduled debt payment, whether interest or repayment of principal, on time and in full. A credit rating is fundamentally an opinion about how likely a specific borrower is to default, and the letter grades that rating agencies use exist mainly to communicate that likelihood to investors in a comparable way. Sri Lanka's 2022 default, which

led to a 2024 debt-restructuring deal with its bondholders, illustrates the real-world event that a low credit rating is meant to warn investors about in advance. [2.2, 2.5]

Default option. The choice a person automatically gets if they take no action themselves, such as being automatically enrolled in a workplace pension plan unless they actively opt out. Some researchers argue that well-designed default options can improve financial behaviour more reliably than classroom financial education, on the reasoning that most people never revisit a default once it is set, so choosing a sensible default, like automatic saving, does more good than teaching people about saving in the abstract. [4.2]

Disintermediation. The removal of a middleman, such as a commercial bank, from a financial relationship that previously required one. A retail central bank digital currency raises the risk of disintermediation because if ordinary people could hold money directly at the central bank instead of at a commercial bank, banks could lose deposits, particularly during a crisis when people might rush to move money into the safest possible form. This is one of the practical reasons several central banks, including the Bank of Japan, have moved cautiously with CBDC pilots rather than launching a retail version outright. [1.2]

Economic diplomacy. The use of trade, investment, aid and financial ties, including the threat of cutting them off, as tools of foreign policy, running on two tracks: coercion, such as sanctions, and cooperation, such as coordinated crisis lending. The response to Russia's 2022 invasion of Ukraine, in which G7 economies froze roughly US\$300 billion of Russian central bank reserves, is the clearest recent example of the coercive track, while climate-finance pledges made through the G20 and COP process show the cooperative track and its limits. Japan's decision to join the 2022 sanctions while securing an exemption for its Sakhalin-2 gas stake shows economic diplomacy is a balancing act between solidarity with allies and a country's own practical needs. [4.5]

Effective tariff rate. The actual average tariff rate a country's imports face in practice, once every product-specific rate is combined and weighted by how much of each product is actually traded, as distinct from any single official tariff percentage. The average effective tariff rate on US imports rose from about 2.4% in January 2025 to a peak near 28% in the spring before settling around 17% by that autumn, and then fell again to about 7% by mid-2026 after a Supreme Court ruling changed the legal basis for many of the tariffs. Tracking the effective rate, rather than any

one announced tariff, is how economists measure how much protection a country's trade policy is actually applying at a given moment. [3.3]

Effective tax rate. The actual share of a person's or company's income that is paid in tax after all deductions, exemptions and different tax rates on different income types are taken into account, as distinct from the official top tax rate that might apply on paper. Japan's very highest earners can end up with a falling effective tax rate past about JPY 100 million in income, nicknamed the "JPY 100 million wall," because investment income is taxed at a flat 20% while employment income is taxed progressively up to about 45%, and the wealthiest take more of their income as investment returns. The gap between a headline rate and the effective rate actually paid is central to why economists argue that tax design matters more than tax rates alone. [4.3]

Exchange. A marketplace, typically operated by a private company under regulatory oversight, where securities such as shares and bonds are bought and sold according to established rules. Exchanges in Tokyo, Seoul, Shanghai and elsewhere set their own daily price limits on individual stocks, showing how an exchange's own rules, not just national law, shape how a market actually behaves day to day. The term recurs whenever this book discusses where trading actually happens, from stock markets reacting to sudden volatility to the crypto exchanges at the centre of early digital-asset regulation. [1.1, 2.1]

Exchange rate. The price of one country's currency expressed in terms of another, which determines how much foreign currency a given amount of domestic money can buy. A government that borrows in its own currency avoids exchange-rate risk on its debt, because a falling exchange rate cannot make repayment harder when the debt is denominated in money the country can itself issue, which is a key reason Japan's very large government debt has not triggered the kind of crisis seen in countries that borrow heavily in foreign currency. [2.5]

External review. An independent check, carried out by a party separate from the bond issuer, confirming that a green bond's proceeds are actually being used for the environmental projects the issuer promised. The European Union's Green Bond Standard requires an external review both before and after issuance for any bond to carry the official "European Green Bond" label, precisely because "green" would otherwise be a label an issuer could apply to itself without any outside check. This kind of review is the practical tool regulators rely on to limit greenwashing. [3.1]

Financial Action Task Force (FATF). The body, created by the G7 in 1989, that sets the global rulebook for anti-money-laundering policy, shaping law in more than 200 countries and territories through standards that member countries are expected to follow. FATF reviews each member through a peer “mutual evaluation” and publishes a “grey list” of countries under increased monitoring; Japan’s 2021 review found its controls were “delivering results” but still placed the country in “enhanced follow-up,” prompting a burst of new legislation. FATF cannot fine a country directly, but a poor review raises the cost and friction of every cross-border payment a country’s banks make, which is often enough pressure on its own. [4.1]

Financial crisis. A severe, often sudden breakdown in the normal functioning of banks, markets or the wider financial system, typically involving a sharp loss of confidence, falling asset values, and difficulty for institutions in meeting their obligations. The 2008 global financial crisis is a recurring reference point across this book, from the mortgage-backed bonds that credit rating agencies wrongly rated highly beforehand, to the stress tests regulators built afterward to catch problems before the next one, to the COVID-19 downturn later compared against it as an even deeper one-year drop in global output. [2.2, 2.4, 3.5, 4.5]

Financial inclusion. Giving people who are shut out of the formal financial system practical access to an account, payments, savings and credit. The share of adults worldwide with some kind of account rose from roughly half in 2011 to nearly 80% by 2024, driven largely by mobile money and government-built payment infrastructure in lower-income countries, though about 1.3 billion adults still have no account of any kind. In a country like Japan, which is already nearly fully banked, financial inclusion means something different: keeping cash and branch access available for elderly, rural and foreign residents as the financial system becomes more digital. [1.5]

Financial literacy. A person’s ability to understand and apply basic financial concepts, such as interest, inflation and risk-spreading, in order to make sound decisions about money. The OECD’s 2023 survey of 39 countries found an average score of just 60 out of 100, with only about a third of adults in many countries able to answer three simple financial-literacy questions correctly, which is why governments increasingly run organised financial-literacy programmes aimed at closing this gap. Japan made financial literacy a specific policy priority after lowering its age of majority to 18 in 2022, since younger adults

could suddenly take out loans and credit cards without a parent’s consent. [4.2]

Financial system. The full network of banks, markets, insurers and other institutions through which money is saved, lent, invested and moved, along with the rules that keep that network functioning. Regulators watch for risks that could spread through the financial system as a whole, rather than affecting only a single institution, which is exactly why the near-collapse of the insurer AIG in 2008 mattered: contracts written by one small division threatened to destabilise a much larger part of the system. Anti-money-laundering rules exist partly to keep criminal proceeds from entering and contaminating the legitimate financial system. [2.3, 4.1]

Fintech. Financial services delivered mainly through software, such as app-based payments, online lending and digital-only banking, as opposed to services delivered primarily through a traditional bank branch. As fintech firms grew, governments had to decide how to supervise them, leading to very different national approaches: the United Kingdom’s regulatory sandbox, the European Union’s broad open-banking law, and India’s public payment infrastructure are three distinct answers to the same underlying question of how to regulate financial services once software, not a branch network, is doing most of the work. [1.3]

Fiscal stimulus. Extra government spending or tax relief, often running to trillions of dollars in a major economy, intended to support demand and prevent a downturn from becoming a deeper or longer recession. During the 2020 pandemic downturn, the United States passed a large emergency spending package and the European Union agreed its first jointly financed recovery fund, both examples of fiscal stimulus used on a scale not seen since peacetime. It works alongside monetary easing as one of the two main tools governments and central banks have for responding to a sudden, severe economic shock. [3.5]

Free trade agreement. A formal, standing agreement between countries to keep tariffs and other trade barriers low between them, in contrast to a tariff, which any government can raise at will. Japan belongs to the CPTPP, which since 2018 has removed tariffs on about 95% of the goods traded among its members, well below the standard most-favoured-nation tariff each member would otherwise charge outside the agreement. A free trade agreement gives businesses a predictable trading relationship precisely because it cannot be changed as unilaterally or as quickly as a tariff can. [3.3]

Gini coefficient. A single number, running from 0 (everyone equally wealthy) to 1 (one person owning everything), used to summarise how unequal wealth or income is across a population. It is the standard measure economists use to compare inequality across countries and over time, and it sits behind statements such as the finding that the richest 10% of the world's adults own about 76% of household wealth while the poorest half own about 2%. A rising Gini coefficient over time signals growing inequality, while a falling one signals a narrowing gap. [4.3]

Government bond. A bond issued by a national government to borrow money, typically through a bond auction run by a debt management office, promising to pay interest and repay the amount borrowed on a set date. As of March 2026, the Bank of Japan alone held about 48% of all Japanese government bonds, with foreign investors holding only about 8%, which is a major reason Japan can carry a very large debt-to-output ratio without the kind of crisis a country more reliant on foreign lenders might face. Government bonds are also a common investment held by pension funds and insurers, connecting this topic to how those institutions manage their own long-term obligations. [2.5, 3.2, 3.4, 3.5]

Green bond. A bond whose issuer promises to spend the money raised only on defined environmental projects, keep those proceeds in a separate account, and report later on where the money went and what it achieved. Unlike an ordinary bond, which an issuer can spend however it likes with no follow-up check, a green bond is essentially an ordinary loan with an enforceable promise and disclosure obligation attached to it; the global green bond market was worth about US\$2.9 trillion by early 2025. The European Investment Bank sold the first one in 2007, and most issuers today follow the voluntary Green Bond Principles. [3.1]

Greenwashing. Claiming an environmental benefit for a financial product or company activity that the underlying reality does not actually deliver. It is the specific problem that external review requirements and official taxonomies, such as the European Union's, are designed to prevent, since without an outside check, "green" is simply a label an issuer could apply to itself. The debate over Japan's climate transition bonds, which fund heavy-polluting industries trying to change rather than activities that are already clean, sits close to this concern, since critics ask whether such bonds risk a milder form of the same greenwashing problem. [3.1]

Haircut. A reduction in the amount owed to a lender, agreed as part of a debt restructuring, so

that creditors accept being repaid less than they were originally promised. Sri Lanka's 2024 restructuring deal with its bondholders cut the value of its bonds by roughly a quarter, a typical example of the kind of haircut lenders accept once it becomes clear that a government genuinely cannot pay the full amount owed on the original terms. A haircut is the specific mechanism through which a restructuring actually reduces a borrower's debt burden, rather than merely rescheduling the same amount over a longer period. [2.5]

Importer of record. The company legally responsible for bringing goods across a border and paying any tariff owed to customs, regardless of who ultimately bears the economic cost of that tariff. The distinction matters because, legally, the importer of record pays the tax, but economically the cost can be split three ways between the exporter, the importer and the final buyer, a split called the pass-through, which is why who is legally liable for a tariff and who actually bears its cost can be two very different questions. [3.3]

Infrastructure funding gap. The shortfall between the amount of money the world's roads, bridges, power grids and water systems need and the amount likely to actually be spent on them. The Global Infrastructure Hub estimates a need of about US\$97 trillion worldwide by 2040 against roughly US\$79 trillion likely to be spent, an infrastructure funding gap of around US\$18 trillion, made up partly of capacity that is never built and partly, especially in richer countries such as Japan, of old infrastructure that now needs expensive repair. The gap is why infrastructure financing increasingly relies on tools beyond direct government spending, such as public-private partnerships and multilateral development banks. [3.2]

Institutional investor. An organisation, such as a pension fund, insurance company or investment firm, that invests large amounts of money on behalf of clients or members rather than only for itself. Institutional investors are named as one source that can be drawn into infrastructure investment through blended finance, where public money reduces a project's risk enough that institutions such as pension funds and insurers are willing to commit their own capital. The same kind of investor also appears in corporate governance, where large institutional shareholders such as index funds and public pension funds can decide the outcome of a contested board election, as happened at ExxonMobil in 2021. [3.2, 4.4]

Instant payment system. Payment infrastructure that lets money move between accounts within seconds, at any time, rather than the

slower, delayed settlement of older bank transfers. Brazil's central bank launched one such system, Pix, in 2020, and within about a year two-thirds of Brazilian adults were using it, including millions who had never made an electronic transfer before, making it a rare case of a government-built payment system driving financial inclusion directly. [1.5]

Insurer. A company that takes in regular payments called premiums from policyholders today, in exchange for a promise to pay a claim if a specified future event occurs. Because an insurer's promise to pay may not come due for decades, regulation is built around one central question: will the company still have enough money to pay when the claim eventually comes? Japan's 1997 failure of Nissan Mutual Life, its first life-insurer failure since the Second World War, showed what happens when an insurer's investment returns can no longer support the guarantees it made to policyholders years earlier. [2.3]

Investment grade. A credit-rating category indicating that an agency views a borrower's debt as carrying relatively low risk of default, as distinct from lower, more speculative grades below it. Because many large investors are permitted by law or their own internal rules to hold only bonds rated investment grade or higher, a downgrade out of this category can force significant selling and sharply raise a borrower's future cost of debt, which is exactly why credit-rating decisions carry real market consequences even though they remain, technically, just opinions. [2.2]

Issuer. The entity, whether a company, government or fund-transfer firm, that creates and puts into circulation a financial instrument such as a bond, a stablecoin or a share. In the crypto context, Japan permits only a licensed bank, a registered fund-transfer firm, or a trust company to act as a stablecoin issuer for the public, precisely because the shared worry across all jurisdictions is that a coin promising to always be worth one dollar could fail if the issuer's backing assets are not real or not safe. The same basic role, an entity taking on the obligation behind a financial promise, recurs wherever this book discusses bonds, from green bonds to sovereign debt. [1.1, 3.1]

"Just-in-time" education. Financial guidance or teaching delivered to a person at the exact moment they face a real financial decision, rather than in a classroom disconnected from any immediate choice. Sceptics of general financial-education courses have argued that just-in-time education, combined with better default options, would do more good than classroom teaching, since a 2014 review found that whatever benefit

financial-education courses had tended to fade within about two years. More recent research suggests the real lesson is about timing and design generally, since programmes delivered near an actual decision tend to show stronger, longer-lasting effects. [4.2]

K-shaped recovery. An economic recovery in which some parts of the economy or some countries rise quickly while others continue to fall or stagnate, so that a single average growth figure hides sharply divergent experiences. The recovery from the 2020 pandemic downturn was K-shaped on a global scale: by early 2026 roughly a quarter of developing economies were still poorer per person than in 2019, while almost every advanced economy had grown richer, a pattern very different from the shared, near-simultaneous downturn all countries experienced at the start of the crisis. [3.5]

Licensing. The formal legal approval a government requires a financial firm to obtain before it may offer certain services, distinct from lighter forms of oversight such as registration. Japan's approach to fintech regulation splits non-bank money-transfer providers into three tiers by transfer size, requiring full licensing only for the tier handling the largest transfers, while the two smaller tiers need only to register. In the United States, a money-transfer firm must obtain separate licensing in each state where it operates, which raises the cost of launching a nationwide service and tends to favour large, well-funded companies over smaller competitors. [1.3]

Market. A general term for the place, physical or digital, where buyers and sellers trade financial instruments such as shares, bonds or currencies, and, more broadly, the collective behaviour of everyone doing that trading. The word recurs across topics as different as stock-market volatility, tariffs affecting export markets, and corporate-governance rules affecting how the stock market values a company, reflecting how central the idea of a market is to almost every area of finance covered in this book. [2.1, 3.3, 4.4]

Market volatility. Sharp, rapid movement in the price of a security, an index or a market as a whole, whether upward or downward, that regulators and exchanges have built specific tools to manage. On 5 August 2024 the Nikkei 225 fell 4,451 points, or 12.4%, in a single day, the largest one-day points fall in its history, before recovering much of the loss the next day, an example of the kind of sudden swing that circuit breakers, trading halts and daily price limits are all designed to slow down rather than stop entirely. [2.1]

Meta-analysis. A study that statistically combines the results of many earlier, separate studies on the same question, in order to reach a more reliable overall estimate than any single study could provide on its own. A 2022 meta-analysis pooling 76 randomised experiments covering more than 160,000 people across 33 countries found that financial education has real, measurable effects on both knowledge and behaviour, an estimate at least three times larger than an earlier, more sceptical 2014 review had found, illustrating how combining many smaller studies can shift the overall picture on a genuinely contested question. [4.2]

Mobile money. A financial service that lets people hold and send money using a basic mobile phone, without needing a traditional bank account, with cash typically paid in and out through local agents rather than bank branches. Safaricom's M-Pesa, launched in Kenya in 2007, is the best-known example, and Sub-Saharan Africa is now the only region in the world where more adults have a mobile money account than a bank account. Mobile money has been the single biggest driver of financial inclusion in the region, because it reaches people far from any bank branch using infrastructure, mobile phones, that was already widely available. [1.5]

Monetary easing. Central-bank action intended to make borrowing cheaper and increase the amount of money available in the economy, typically used to support demand during a downturn. During the 2020 pandemic downturn, the European Central Bank's bond-buying programme, a form of quantitative easing, grew from EUR 750 billion to EUR 1,850 billion, working alongside government fiscal stimulus as one of the two main tools used to prevent a health emergency from becoming a lasting depression. [3.5]

Money laundering. The process of moving the financial proceeds of crime through the financial system until the money appears to come from a legitimate source. The UN Office on Drugs and Crime still cites an estimate that 2–5% of world output, very roughly US\$800 billion to US\$2 trillion, is laundered each year, though the true scale is only roughly measured because, by its nature, successful money laundering is designed to look like ordinary legitimate activity. Anti-money-laundering rules exist specifically to make this process harder to complete undetected. [4.1]

Most-favoured-nation (MFN) tariff. The standard tariff rate a country charges on imports from any trading partner it has not given a specific, more favourable deal to through a free trade agreement. Japan's CPTPP membership lets it

trade with other member countries at rates well below the MFN tariff it would otherwise charge outside the agreement, which is exactly the point of a free trade agreement: to offer its members a standing exception to the default, MFN-level barrier that applies to everyone else. [3.3]

Multilateral development bank (MDB). A lending institution owned jointly by many national governments, created specifically to fund development projects, including infrastructure, in member countries. The World Bank Group, the best-known example, committed US\$118.5 billion in its 2025 financial year and helped attract a further US\$69.9 billion of private capital alongside it, illustrating how an MDB's own lending can be a relatively small share of the total investment it ultimately helps mobilise through blended finance. [3.2]

Mutual evaluation. A peer-review process, run by the Financial Action Task Force, in which member countries assess each other's anti-money-laundering controls and publish the results, including placing weaker performers on a "grey list" of countries under increased monitoring. Japan's 2021 mutual evaluation found its AML controls were "delivering results" but still placed the country in "enhanced follow-up," a status requiring regular progress reports, which triggered a round of new Japanese legislation, including rules bringing crypto-asset exchanges fully into the AML regime. [4.1]

National financial-education strategy. A coordinated, government-level plan to organise financial education across schools, workplaces, charities and media, rather than leaving it to individual institutions to teach in an uncoordinated way. The United Kingdom's Money and Pensions Service has run a ten-year national financial-education strategy since 2020, coordinating banks, charities and schools rather than delivering the teaching itself directly, a different model from the United States, where the decision to require personal-finance courses is made state by state rather than nationally. [4.2]

Net wealth tax. An annual tax charged on the total value of a person's assets, after debts are subtracted, as distinct from a tax on income or on a single transaction such as a sale or inheritance. The number of OECD countries levying this kind of tax fell from 12 in 1990 to just three by 2020 — Norway, Spain and Switzerland — mainly because such taxes raised relatively little revenue, were difficult to value and enforce accurately, and prompted some wealthy residents to move their assets, or themselves, abroad. [4.3]

Non-executive (independent) director. A member of a company's board who does not work for the company day to day and has no other significant financial or personal tie to it, appointed specifically to bring a perspective independent of management's own interests. Britain's 1992 Cadbury Report recommended using outside non-executive directors as a core governance safeguard, and Japan's 2014 and 2015 governance codes pushed listed companies, many of which previously had very few such directors, to add them as part of a wider effort to make boards genuinely independent of the executives they are meant to oversee. [4.4]

Old-age dependency ratio. The number of people aged 65 or older for every 100 people of working age, used as the key measure of the demographic pressure facing a pension system. Across the OECD, this ratio stood at 33 in 2025, up from 22 in 2000, and is projected to reach 52 by 2050, a shift that is the underlying arithmetic pressure behind nearly every pension reform discussed in this topic, since a rising ratio means fewer contributing workers exist to support each retiree drawing benefits under a pay-as-you-go system. [3.4]

Open banking. A regulatory approach that requires banks to let customers grant licensed third-party firms access to their payment account data and payment functions, typically through a standard software connection. The European Union's Payment Services Directive, known as PSD2, created the legal basis for open banking across the bloc starting in 2018, meaning a firm authorised in one EU country can then offer open-banking-based services across all the others, a level of portability that fintech rules in other major markets, such as the United States, have not matched. [1.3]

Output gap. The difference between what an economy is actually producing and what it could produce if it were running at full capacity. Japan took longer than the United States or the euro area to close its output gap after the 2020 pandemic downturn, which the Reading describes as evidence of a slower recovery cycle rather than a sharper shock, since Japan also reopened its borders later than many other major economies. A persistently wide output gap generally signals an economy still operating well below its potential. [3.5]

Pass-through. The share of a tariff's cost that is actually passed on to the final buyer, as opposed to being absorbed by the exporter through a lower price or by the importer through a thinner profit margin. Studies of the tariffs the United States raised sharply in 2025 disagreed sharply

on this figure: one Federal Reserve analysis found about 90% of the cost fell on US firms and consumers, while another found foreign exporters absorbed close to half of it through lower prices, showing that pass-through depends heavily on how much pricing power the exporter actually has. [3.3]

Pay-as-you-go (PAYG). A pension-funding model in which today's workers' contributions directly pay today's retirees' benefits, with little capital saved or invested in advance, as distinct from a funded system that invests contributions ahead of time. Most public pension systems, including Japan's, operate this way, which is precisely why a rising old-age dependency ratio creates a genuine funding problem: when retirees grow in number faster than contributing workers, a PAYG system's sums simply stop balancing without some form of reform. [3.4]

Payment system. The infrastructure, whether run by a private company, a group of banks, or a central bank, through which payments are transferred, cleared and settled between people, businesses and institutions. India's Unified Payments Interface, overseen by the Reserve Bank of India, processed more than 240 billion transactions in the 2025–26 financial year, making it the world's largest real-time payment system and a clear example of a government-built payment system that private apps then compete on top of rather than replace. [1.3, 1.5]

Personal data. Any information that relates to an identifiable individual, such as an account number, a transaction history, or a copy of an identity document, all of which financial firms routinely collect and hold. Privacy law generally requires a company to have a clear reason for collecting each piece of personal data, the individual's consent, and a duty to keep only what is genuinely needed, rules that apply with particular force to financial firms because of the sheer volume and sensitivity of the personal data they hold on their customers. [1.4]

Pilot. A limited, test-scale rollout of a new system or product, used to learn how it performs before deciding whether to launch it more widely. The Bank of Japan has run a central bank digital currency pilot since 2023 and has stated that no decision to actually issue a CBDC has been made, illustrating how a pilot lets a central bank gather real operational experience while deliberately avoiding the bigger commitment, and bigger risks, of a full public launch. [1.2]

Policyholder. The person or business that owns an insurance policy and is entitled to make a claim under it if a covered event occurs. Solvency

regulation exists specifically to protect policyholders, by requiring insurers to hold enough capital to be confident of paying claims that, in the case of life insurance, may not fall due for decades after the policy was first sold; Japan's 1997 failure of Nissan Mutual Life directly threatened the interests of its policyholders when the company could no longer meet its promised future payments. [2.3]

Premium. The regular payment a policyholder makes to an insurer in exchange for coverage against a specified future risk. An insurer's core business challenge, explored throughout this topic, is that it collects premiums today against a promise to pay claims that may not come due for years or decades, which is exactly why solvency regulation focuses on whether an insurer's capital and investment returns will still be enough to honour that promise when the time eventually comes. [2.3]

Price cap. A rule that sets a maximum price at which a good, such as oil, may be bought or sold by parties subject to the rule, used here as a tool of economic diplomacy rather than ordinary market regulation. The G7 and EU capped Russian seaborne oil at US\$60 a barrel in 2022 as part of their sanctions response to the invasion of Ukraine, though the reading notes that Russian oil was often simply re-routed and sold above the cap, illustrating a limit of this tool: a price cap can impose costs and friction without fully controlling how a determined seller ultimately behaves. [4.5]

Progressive / regressive tax. A progressive tax takes a larger share of income as income rises, while a regressive tax takes a larger share from lower incomes than from higher ones. Progressive income tax is one of the four main tools in the redistribution toolkit described in this topic, and Japan's own system shows a subtlety: its employment income is taxed progressively up to about 45%, but because investment income is taxed at a flat 20% instead, and the wealthiest earn more of their income from investments, the overall effective tax rate can actually fall for the very highest earners despite a progressive rate structure existing on paper. [4.3]

Public-private partnership (PPP). An arrangement in which a private company designs, builds, finances and operates a public asset, such as a road or a power plant, for a fixed period called a concession, earning tolls or fees during that time before ownership returns to the state. Kenya's Nairobi Expressway, opened in 2022 and built by a Chinese state contractor that paid about 80% of its roughly US\$668 million cost, is a clear example: the contractor collects tolls for about three

decades before handing the completed road over to the government. A PPP is one of several ways governments try to close the infrastructure funding gap without relying solely on public budgets. [3.2]

Quantitative easing (QE). A form of monetary easing in which a central bank creates new money to buy large quantities of bonds, pushing bond prices up and long-term interest rates down in order to make borrowing cheaper across the economy. During the 2020 pandemic downturn, the European Central Bank's bond-buying programme, a form of QE, grew from EUR 750 billion to EUR 1,850 billion, an example of the scale central banks used this tool at to support their economies through the crisis. [3.5]

Randomised controlled trial (RCT). A study design in which people are randomly assigned to receive a treatment, such as a financial-education programme, or not, so that any later difference between the two groups can be attributed to the treatment itself rather than to pre-existing differences between the people in each group. The 2022 meta-analysis that found real, measurable effects from financial education pooled the results of 76 separate randomised controlled trials covering more than 160,000 people across 33 countries, and it is precisely this randomised design that lets researchers say the education itself, not some other factor, caused the observed change in behaviour. [4.2]

Real-time payment system. Payment infrastructure that clears and settles a transfer within seconds rather than the hours or days a traditional bank transfer can take. India's Unified Payments Interface, which processed more than 240 billion transactions in the 2025–26 financial year, is described in the Reading as the world's largest such system, free to use for individuals and built as public infrastructure that private payment apps then compete on top of. [1.3]

Recession. A significant, sustained decline in economic activity, commonly used as the severe scenario a bank stress test is designed to model. Regulators set out a scenario such as a deep recession, with rising unemployment and falling house prices, to test whether banks could survive it, and the actual global recession triggered by the 2020 pandemic, in which global output fell about 3.3%, a deeper one-year drop than the 2008 financial crisis, later became the real-world event that governments' emergency fiscal stimulus was designed to cushion. [2.4, 3.5]

Regulator. A government body responsible for supervising a particular part of the financial system and enforcing the rules that apply to it, such

as a securities regulator overseeing stock exchanges or a central bank overseeing banks. Regulators recur throughout this book because almost every topic, from crypto exchanges to insurance solvency to credit rating agencies, ultimately depends on some regulator's decision about how closely, and by what rules, a given part of the financial system should be overseen. [1.4, 1.5, 2.1, 2.2, 2.3, 2.4, 3.1, 3.2, 4.1, 4.2, 4.4]

Regulatory sandbox. A scheme that lets a new financial firm test a product with real customers for a limited time, under tailored rules and close supervision, rather than requiring it to meet every normal regulatory requirement from day one. The United Kingdom's Financial Conduct Authority launched the world's first one in 2016, and the idea spread quickly: by 2020 the World Bank counted 73 regulatory sandboxes in 57 countries. It lets regulators learn how a genuinely new kind of product behaves in the real world before deciding how, or whether, to regulate it fully. [1.3]

Replacement rate. Pension income expressed as a share of a person's working-age income, used to measure how much of a retiree's former earning power their pension actually replaces. Japan's replacement rate is projected to fall from about 61% today toward a legal floor of 50% by 2057, a gradual decline driven by the country's automatic adjustment mechanism, which quietly trims benefit growth as the workforce shrinks rather than requiring a sudden, politically difficult cut. [3.4]

Retail CBDC. A form of central bank digital currency that ordinary people could hold and use directly, without a commercial bank standing in between, for everyday payments. It is the more controversial of the two main CBDC types discussed in this topic, because giving the public a direct claim on the central bank raises the risk of disintermediation, in which people move money out of commercial banks and into the safer central-bank form, especially during a crisis. The small number of retail CBDCs actually launched so far, such as the Bahamas' Sand Dollar and Nigeria's eNaira, have all seen very low real-world use. [1.2]

Risk. The possibility that an outcome will differ from what was expected, usually in a way that causes a loss, whether to an individual investor, a company, a bank, or a whole financial system. The idea of risk runs through nearly every topic in this book in a different guise, from the credit risk a bond investor takes on, to the risk a stress test tries to measure inside a bank, to the personal financial risk a financial-literacy pro-

gramme tries to help ordinary people manage more wisely. [2.3, 3.2, 3.3, 3.4, 4.2, 4.3]

Risk model. A quantitative tool banks and regulators use to estimate how much a portfolio of loans or investments could lose under different conditions. A stress test relies on risk models to translate a broad scenario, such as a deep recession, into a specific estimate of how much capital a bank would actually lose, and the accuracy of that translation is exactly what failed to capture Signature Bank's 2023 collapse, since its problem was a sudden loss of confidence that spread faster than any model had assumed possible. [2.4]

Sanctions. Restrictions imposed by one country or group of countries on trade, financial dealings or travel with a targeted country, organisation or individual, used as a foreign-policy tool short of military action. The response to Russia's 2022 invasion of Ukraine, in which the G7 and EU froze Russian central bank reserves, cut major Russian banks out of SWIFT, and capped Russian oil prices, was the largest coordinated use of financial sanctions ever applied to a major economy, though the Reading notes it imposed large costs on Russia without forcing a change of course, illustrating why sanctions are better understood as leverage than as control. [4.5]

Scarring effect. Lasting economic damage left behind by a downturn that persists even after the immediate crisis has passed and other parts of the economy have recovered. The World Bank's early-2026 assessment found that roughly a quarter of developing economies were still poorer per person than they had been in 2019, evidence of a scarring effect from the 2020 pandemic downturn that no subsequent rebound had yet reversed, in sharp contrast to almost every advanced economy, which had grown richer over the same period. [3.5]

Scenario. A specific, detailed set of assumptions about future economic or market conditions, such as a deep recession combined with rising unemployment and falling house prices, that regulators use to test how a bank or financial system would perform. Regulators have learned to vary their stress-test scenarios from year to year, since a scenario centred on a property crash one year and a sudden interest-rate jump the next tests different vulnerabilities, and a test can only reveal the risks its scenario was actually designed to include. [2.4]

Secondary sanctions. Penalties imposed on a firm or individual in a third country for doing business with a party that is directly sanctioned, even though the third-country firm itself had no direct role in the original conduct being punished.

The United States can impose secondary sanctions specifically because the US dollar dominates global reserves, trade invoicing and cross-border payments, giving Washington leverage over transactions that technically occur entirely outside its own borders, simply because so much international business still passes through the dollar system at some point. [4.5]

Shareholder activism. Investor activity aimed at changing a company's strategy, capital allocation, governance or operations, ranging from private engagement through to public campaigns and contested elections for board seats. In 2021 the activist fund Engine No. 1, holding only about 0.02% of ExxonMobil, won three of twelve board seats by persuading large institutional investors to back its climate-focused candidates, the first board election ever decided on climate strategy and a concrete demonstration that even a very small stake can reshape a large company's direction if enough other shareholders come to share the same concern. [4.4]

Short selling. A trading strategy in which an investor borrows and sells a security they do not own, betting that its price will fall so they can buy it back later at a lower price and profit from the difference. During the market turmoil of March 2020, the European Union allowed national regulators to ban short selling of some shares for several weeks, a step regulators sometimes take during periods of extreme market volatility on the reasoning that heavy short selling can worsen a falling market, even though the practice is a normal and legal part of trading in calmer conditions. [2.1]

Solvency rule. A regulation requiring an insurer to hold capital worth more than its expected future claims, so that it can absorb a bad year without failing to pay policyholders. The European Union's Solvency II framework, in force since 2016, sets required capital at the level needed to survive a loss expected only once in 200 years, while Japan has used a solvency margin ratio since the late 1990s, under which a reading below 200% triggers official intervention. Because an insurer's promised payouts may not come due for decades, a solvency rule is the main tool regulators use to judge, well in advance, whether that promise is actually likely to be kept. [2.3]

Sovereign debt. Money borrowed by a national government, typically through issuing government bonds, to fund its spending. Japan's sovereign debt is about 206% of national output by 2026 IMF figures, by far the highest of any large advanced economy, yet the country has no debt crisis and low borrowing costs, because almost all of that debt is held domestically in yen rather

than owed to foreign creditors in a foreign currency. [2.5]

Sovereign rating. A credit rating issued specifically on a national government's debt, reflecting an agency's opinion of how likely that government is to repay what it owes. Sovereign ratings show that credit ratings carry real weight even for the world's largest economies: when Standard & Poor's downgraded the United States from its top AAA rating in 2011, and when Fitch and Moody's later followed, the decisions drew sharp official criticism but still moved markets, and France was downgraded by more than one agency in 2025. [2.2]

Stablecoin. A crypto-asset designed to hold a fixed value, usually equal to one dollar, one euro, or another established currency. Regulators in the European Union, the United States and Japan all treat stablecoins with particular care, generally requiring an issuer to hold safe assets equal to every coin in circulation and to publish regular reports, because the shared worry is that a coin advertised as always being worth a fixed amount could fail if the assets actually backing it are not real or not safe. This concern about a stablecoin's backing is also what makes it relevant to the later discussion of central bank digital currencies, since a CBDC is sometimes framed as a safer public alternative to a privately issued stablecoin. [1.1, 1.2]

Statutory retirement age. The age set by law at which a person becomes entitled to a full public pension, distinct from any earlier age at which they might be allowed to retire with reduced benefits. The United States raised its statutory retirement age from 65 to 67 in 1983, a change still phasing in today, while France's 2023 attempt to raise its minimum retirement age from 62 to 64 was partially suspended again in 2025 after renewed protests and budget pressure, showing how directly and how visibly this particular lever affects ordinary voters compared with other pension-reform tools. [3.4]

Stock index. A single number that tracks the combined price movement of a defined group of shares, used as a shorthand measure of how a stock market or a segment of it is performing overall. The Nikkei 225, Japan's main stock index, fell 4,451 points, or 12.4%, on 5 August 2024, the largest one-day points fall in the index's history, illustrating how a single index figure can capture a market-wide event that affected many individual stocks at once. [2.1]

Stress test. An exercise in which a regulator sets out a severe but plausible scenario and requires each large bank to estimate its losses under it,

showing how much of its capital buffer would remain. The method was proven in the United States in 2009, when regulators tested 19 large banks, published the results, and found that ten needed about US\$75 billion of new capital, a transparent process credited with restoring investor confidence faster than expected; the tool has since become an annual fixture in the US, EU, UK and Japan, though Signature Bank's 2023 failure showed that a test only measures the dangers its designers thought to include. [2.4]

Supervision. The ongoing, day-to-day oversight a regulator exercises over financial firms, as distinct from setting rules in the first place or intervening only after a specific failure occurs. Japan's approach to crypto exchanges from 2017 required registration with the Financial Services Agency and ongoing supervision on customer-protection rules, a model repeated across many of this book's topics wherever a regulator's job is not just writing rules but continuously checking that firms are actually following them. [1.1, 1.3, 1.4, 2.4, 4.1]

Suspicious-transaction report. A formal report a bank or other financial firm files with a national financial-intelligence unit when a transaction's pattern suggests possible money laundering, even if nothing about it is plainly illegal on its face. The Reading's opening scene, in which a compliance analyst reviews a payment moving through newly opened accounts to newly registered firms abroad, is exactly the kind of situation that leads to this decision, multiplied across millions of transactions a day, which the Reading calls the front line of anti-money-laundering policy. In Japan, these reports flow to JAFIC, a unit inside the National Police Agency. [4.1]

SWIFT. A global messaging network that banks use to instruct and confirm cross-border payments to each other, widely used as shorthand for access to the international banking system itself. Cutting major Russian banks out of SWIFT was one of the core measures the G7 and EU took after Russia's 2022 invasion of Ukraine, alongside freezing central bank reserves and capping oil prices, because losing SWIFT access makes it far harder for a bank to send or receive international payments at all, even if it has not been directly sanctioned itself. [4.5]

Tariff. A tax charged on goods when they are imported into a country, legally paid by the importer of record rather than the foreign seller. The average effective tariff rate the United States charged on imports rose from about 2.4% in January 2025 to a peak near 28% that spring, the highest level since the 1930s, and countries facing new US tariffs in 2025 responded very differ-

ently: Japan negotiated a reduction to 15% in exchange for a large investment pledge, while India faced a combined 50% tariff with no negotiated relief. [3.3]

Taxonomy. An official, classified list of economic activities that a government or standard-setter has judged to be genuinely environmentally sustainable. The European Union's taxonomy underpins its Green Bond Standard, which requires at least 85% of a labelled "European Green Bond's" proceeds to fund activities that actually appear on this official list, turning "green" from a marketing claim into something that can be checked against a fixed, public definition. [3.1]

"The unbanked." People who have no account of any kind with a bank or other formal financial institution, and who are therefore excluded from routine services such as saving, borrowing and receiving payments through the formal system. About 1.3 billion adults worldwide were still unbanked as of the most recent Global Findex data, with most of them concentrated in just eight countries, even though the global share of adults with an account rose from roughly half in 2011 to nearly 80% by 2024. Financial inclusion programmes, from mobile money to government-built payment systems, exist specifically to bring the unbanked into the formal financial system. [1.5]

Trading halt. A temporary stop in trading of a specific security or an entire market, ordered by an exchange or regulator, usually triggered automatically once a price movement crosses a preset threshold. The Osaka Exchange halted futures trading for a short period on 5 August 2024, when the Nikkei 225 was falling sharply, an example of a trading halt used alongside Japan's circuit-breaker rules to give the market a brief pause during a period of extreme market volatility. [2.1]

"Travel rule." A requirement that identifying information about the sender and recipient must accompany a transfer of funds, including crypto-asset transfers, so that the payment cannot move anonymously through the financial system. Japan brought crypto-asset exchanges fully under its anti-money-laundering regime partly by extending the travel rule to them, following its 2021 FATF review, closing a gap through which crypto transfers had previously been able to move with less identifying information attached than an ordinary bank transfer. [4.1]

Transfer payment. Money the government pays directly to individuals, such as a pension or child benefit, without the recipient providing a good or service in exchange. Transfer payments are one

of the four main tools in the redistribution toolkit described in this topic, and across the OECD, taxes and transfer payments together narrow the income gap by more in high-transfer systems such as France and the Nordic countries than in lower-transfer systems such as the United States and South Korea. [4.3]

Transition bond. A bond that funds a heavy-polluting industry's efforts to reduce its emissions and shift toward cleaner operations, as distinct from an ordinary green bond, which funds activity that is already clean. Japan became the first national government to sell climate transition bonds in February 2024, raising JPY 1.6 trillion in an initial sale as part of a wider programme aiming for about JPY 20 trillion over roughly a decade, to be partly repaid from future carbon-pricing revenue. Transition bonds are more debated than ordinary green bonds precisely because they fund sectors that are trying to change rather than activities that are already environmentally clean. [3.1]

Use of proceeds. The specific, disclosed purpose to which the money raised by a bond issue will be put, and the central commitment that distinguishes a green bond from an ordinary one. A green bond issuer must define the eligible projects the proceeds will fund, keep that money in a separate account, and report later on where it actually went and what it achieved, a set of duties for which "use of proceeds" is the shorthand across the market. [3.1]

Wealth (net worth). The total value of everything a person or household owns, such as property, savings and investments, minus everything they owe. Wealth inequality is measured on this figure rather than on income, and it tends to be far more unequal than income because wealth compounds over time and passes between generations, while a wage stops the moment the work does; globally, the richest 10% of adults own about 76% of household wealth while the poorest half own about 2%. [4.3]

Wholesale CBDC. A form of central bank digital currency used only for settlement between financial institutions, rather than by the general public for everyday payments. It is the less controversial and further-advanced of the two main CBDC types, because it does not raise the same disintermediation concerns as a retail CBDC: it simply lets banks and other institutions settle large payments between themselves using a new form of central-bank money, without changing how ordinary people hold or spend their own money at all. [1.2]



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